DEEPSTACK The Buildout · Part 04 · Memo

CAPEX

AI Spending Has Met Its First Real Bill

Hyperscaler capital budgets are still climbing. The market has started charging for them, rewarding cash-backed returns and punishing faith.

By DeepStack · September 4, 2026 · Capex · 9 min read on the page · deepstack.ltd/stories/the-market-stops-paying-for-faith/

THE DEEPSTACK CALL

Skeptical **Prove the return**

Capital intensity is not a moat. Every new AI dollar now has to out-earn its financing cost.

Conviction High (4/5) · Version 2 · Oct 9, 2026

WHAT TO DO WITH THIS

1. Screen hyperscalers on free cash flow after capex; Alphabet's –$6 billion quarter is the new benchmark.
2. Reward budgets that arrive with return data, not budgets that only grow.
3. Watch the labs' growth rates: deceleration, not decline, is the trigger.

WHAT WOULD CHANGE OUR MIND

- Alphabet's larger 2027 budget lifts the stock instead of sinking it.
- Operating cash flow catches capex growth and the labs fund themselves on durable, non-circular revenue.

THE FULL ARGUMENT

The direction is clear: AI infrastructure remains strategically important, but the market is no longer willing to finance it on scale alone. The single most important reason is the crossing of capital spending and operating cash flow, visible in Alphabet's first negative quarter since its 2004 IPO and in the premium now demanded by creditors. The bullish case would regain force if Alphabet's larger 2027 budget lifted the stock, hyperscaler cash generation caught up with investment, and the two leading labs funded growth on durable, non-circular revenue. A period of real usage growth can coexist with poor returns; what matters is whether each additional dollar of capacity earns more than its financing cost. Until that evidence arrives, capital intensity is not a moat. It is the test.

CALL HISTORY

Version	Date	Stance	Conviction	Reason	By
v2	Oct 9, 2026	Prove the return	High (4/5)	Side named by the owner.	Marco Cauduro
v1	Sep 4, 2026	Prove the return	High (4/5)	First call, as published with the story. The conviction, the actions and the flips were set down for the site on October 7, 2026.	DeepStack

BY THE NUMBERS

$800B
Combined annual capex
Four companies, disclosed in late July

$165B
Quarterly hyperscaler capex
Prof G Markets; three months, August 4

-$6B
Alphabet Q2 free cash flow
Hayden Capital; Q2, first negative since 2004 IPO

$3.5T
2026–30 hyperscaler capex
Oscar Hattink via Kevin Gee; 2026–2030

WHO IS ON EACH SIDE

Is the capex spending defense, or is the return not there?

Each voice is attributed and paraphrased, dated where the date is known, with a link where one exists. DeepStack shows no score, ranking or accuracy for any person. The page: deepstack.ltd/sides/the-market-stops-paying-for-faith/

6 VOICES

The return is not there

Warden Capital Jul 22, 2026

Warden Capital argues the AI investment cycle cannot earn a reasonable return absent AGI within a few years: at roughly $700 billion per year of investment, model providers would need about $1 trillion in annual end AI revenue by 2029, ramping…

fiscal.ai/fund-letters/warden-capital-q2-2026-fscl_document_8ABS2CYK873

Warden Capital Jul 22, 2026

Warden Capital says they are relatively confident the AI boom ends in a bust but do not know when, are not certain it causes a US recession, and cannot judge how deep one would be; they add that the debt-heavy neocloud and datacenter financing…

fiscal.ai/fund-letters/warden-capital-q2-2026-fscl_document_8ABS2CYK873

Kevin Gee Aug 4, 2026

He argues the consensus revenue path is stretched, since the ~$863 billion of incremental annual AI revenue by 2030 would require roughly $100 per month of extra AI spending from every person in the US and EU including children, and equals 19.1x…

aletteraday.substack.com/p/letter-339-oscar-hattink-2026

Kevin Gee Aug 4, 2026

He argues the hyperscalers' AI capital spending may destroy shareholder value: consensus 2026E-'30E capex of about $3.5 trillion against ~$863 billion of incremental revenue at a 40% incremental margin and 20% tax rate implies roughly an 8%…

aletteraday.substack.com/p/letter-339-oscar-hattink-2026

First Pacific Advisors Jul 30, 2026

Global AI spending is projected to reach 2.59 trillion dollars in 2026, and to achieve even a relatively low unlevered return on investment would require 207 billion dollars in after-tax income per year starting immediately, which the portfolio…

fiscal.ai/fund-letters/first-pacific-advisors-lp-q2-2026-fscl_document_9KDV3DNH810

First Pacific Advisors Jul 30, 2026

AI-related stocks have accounted for 50% to more than 75% of the S&P 500's total gains since late 2022, and AI companies now constitute approximately 50% of the S&P 500, exceeding even the Information Technology sector's 35% weight at the S&P 500's...

fiscal.ai/fund-letters/first-pacific-advisors-lp-q2-2026-fscl_document_9KDV3DNH810

THE STRONGEST CASE AGAINST THIS SIDE

Orbis Investments Aug 11, 2026

Nebius, an AI-focused cloud infrastructure business with multibillion-dollar infrastructure deals with Microsoft and Meta and a $2 billion Nvidia investment, has a credible base-case pathway to over 4GW of data centre capacity by 2031 that could...

Contradicts Kevin Gee on evidence · fiscal.ai/fund-letters/orbis-investments-q2-2026-fscl_document_3VPA9VYD914

5 VOICES

The spending is defense

Kris Jul 26, 2026

The Mag7 capex boom should be read the same way: the risk of not investing heavily is much higher than the risk of overinvesting, which is why Alphabet announced more investment and others will follow, since their existence is at stake.

www.potentialmultibaggers.com/p/the-worst-july-in-22-years

Moses Sternstein Jul 24, 2026

Hyperscalers have poured free cashflow and debt into computational infrastructure to meet AI's demands, creating a generational run in semiconductors where demand has outpaced supply.

www.a16z.news/p/charts-of-the-week-are-semis-cheap

Moses Sternstein Aug 21, 2026

AI usage is highly concentrated among power users and top-decile enterprises, which have increased token output by more than 17 times since April 2025, creating an approximately 8-fold gap between typical and top-decile enterprises, and a gap...

www.a16z.news/p/charts-of-the-week-winds-of-thematic

Quanta 72 Jul 22, 2026

Unlike dot-com era suppliers, today's hyperscalers fund AI investment from profitable core businesses such as advertising, cloud, software, subscriptions, and e-commerce, so the question is not whether they can afford the spending.

quanta72.substack.com/p/is-ai-the-next-dot-com-bubble-what

Quanta 72 Jul 22, 2026

The most important signal for AI-era investors is the relationship between capital spending, free cash flow, and the growth those investments eventually produce, because in the dot-com boom stock prices turned before earnings and cash flow collapsed.

quanta72.substack.com/p/is-ai-the-next-dot-com-bubble-what

THE STRONGEST CASE AGAINST THIS SIDE

Kingswell Jul 24, 2026

Kingswell flags with unease that Alphabet's Q2 capex hit a record $44.9 billion and full-year guidance was raised to $195-205 billion from $180-190 billion, with executives expecting a higher number next year.

Contradicts Kris on evidence · www.kingswell.io/p/the-berkshire-beat-july-24-2026

6 VOICES

Voices that cross sides

Steve Eisman Jul 24, 2026

If AI becomes cheaper and commoditized, spending hundreds of billions of dollars becomes much harder to justify economically.

realeismanplaybook.substack.com/p/googles-negative-cash-flow-and-the

Steve Eisman Jul 27, 2026

The bullish case compares current AI infrastructure buildout to building the Las Vegas Strip in the 1950s, arguing that enormous upfront investment creates an eventually valuable economic ecosystem.

realeismanplaybook.substack.com/p/the-ai-revolution-who-wins-who-loses

Hayden Capital Aug 27, 2026

The current hyperscaler capex boom, with Alphabet, Amazon, Meta, and Microsoft together spending close to $800 billion in 2026, requires external capital funding for the first time because capex now exceeds internal cash flow.

fiscal.ai/fund-letters/hayden-capital-q2-2026-fscl_document_4UXZ6MTS260

Hayden Capital Aug 27, 2026

AI chip prices are currently inflated by speculative demand from companies ordering more chips than they need to secure allocation, and reselling them at premiums—a dynamic similar to Rolex watch secondary market pricing.

fiscal.ai/fund-letters/hayden-capital-q2-2026-fscl_document_4UXZ6MTS260

JunkBondInvestor Jul 26, 2026

The widening in AI-related credit is largely a supply-and-duration absorption story rather than fundamental deterioration, and saying so is true but the least informative thing one can say about it.

www.junkbondinvestor.com/p/credit-weekly-repriced-not-differentiated

JunkBondInvestor Jul 26, 2026

AI-related issuance across investment grade, high yield and loans stands at $489bn year to date against $322bn for all of 2025, is 23% of USD IG gross supply this year, and for the first time the six largest tech names carry more risk in the US...

www.junkbondinvestor.com/p/credit-weekly-repriced-not-differentiated

NOT A DISAGREEMENT

Bridge to Parts 1 to 3

Across earlier Parts: Eisman's return question and Warden's arithmetic both support Burry's circularity thesis from Part 1, and Kevin Gee's return math supports Oguz Erkan's free-cash-flow tripwire from Part 3.

WHERE THEY CROSS

The specific points where one voice meets another: the same evidence read two ways, or the same mechanism with a different sign.

Quanta 72 qualifies Steve Eisman on condition

Warden Capital contradicts Steve Eisman on evidence

Steve Eisman qualifies Quanta 72 on condition

JunkBondInvestor qualifies Moses Sternstein on mechanism

Warden Capital qualifies JunkBondInvestor on mechanism

THE DATED TESTS

What would settle it, on the Docket. A test is specified when an outsider can settle it without asking anyone: the question, the source, the rule and what happens if the source is late, revised or silent.

Jan 1, 2027 `p04-t01` PENDING

Alphabet discloses its higher 2027 budget; a rise in the stock revives the defense case, another fall validates the return test.

Question	Did Alphabet shares close higher on the first full trading day after Alphabet disclosed a 2027 capital-spending budget above its 2026 budget than at the close before the disclosure?
Source	Alphabet investor relations, quarterly earnings release and call `abc.xyz/investor/`
Rule	Read the 2027 capital-expenditure figure or range Alphabet gives in the release or on the call, and the Nasdaq close of GOOGL on the first full trading day after it against the close before. The answer is yes if the 2027 budget is above 2026's and the close is higher; no if the close is lower or unchanged.
If the source is late, revised or silent	If Alphabet gives no 2027 figure by February 15, 2027, or guides 2027 at or below 2026, the test is inconclusive, and the Result says what was read and what was missing.

Next lab financing `p04-t02` PENDING

OpenAI and Anthropic revenue and funding terms emerge; deceleration, not decline, is the trigger for a reflexive break.

Specification pending

Jan 1, 2027 `p04-t03` PENDING

Hyperscaler free cash flow shows whether operating cash flow catches capex growth; a catch-up makes external funding temporary.

Specification pending

Sep 8, 2026 p04-t04 REFUTED

$50B–60B of queued paper prices; narrower concessions support absorption, wider spreads signal borrower scrutiny.

Question	Did the investment-grade corporate bond spread (ICE BofA US Corporate Index option-adjusted spread, FRED series BAMLC0A0CM) read tighter on October 2, 2026, the end of the four weeks after Labor Day, than its August 2026 average?
Source	FRED, ICE BofA US Corporate Index option-adjusted spread (BAMLC0A0CM) fred.stlouisfed.org/series/BAMLC0A0CM
Rule	on - baseline <= -0.03 => yes; on - baseline >= 0.03 => no
If the source is late, revised or silent	A series that is late, revised after the reading or silent for the window is inconclusive, reviewed by the owner, and the Result says what was read, what was missing and the next step. A difference inside the 3 basis point band is inconclusive and closes the test.

Token and productivity data p04-t05 PENDING

Prices, volumes and productivity move together; sustained volume growth over price and a visible productivity surge support the bulls.

Specification pending

THE TEST CAME IN

No test from this Part has resolved yet. Results are promoted by a person and listed on the Results page.

SOURCES AND FURTHER READING

1. Potential Multibaggers - July 26 spending case · www.potentialmultibaggers.com/p/the-worst-july-in-22-years
2. a16z - July 31 equipment backlog · www.a16z.news/p/charts-of-the-week-moar-machines
3. a16z - August 21 usage data · www.a16z.news/p/charts-of-the-week-winds-of-thematic
4. Warden Capital - second-quarter letter · fiscal.ai/fund-letters/warden-capital-q2-2026-fscl_document_8ABS2CYK873
5. First Pacific Advisors - Crescent Fund letter · fiscal.ai/fund-letters/first-pacific-advisors-lp-q2-2026-fscl_document_9KDV3DNH810
6. Prof G Markets - August 4 capex tally · www.profgmedia.com/p/south-koreas-market-crash-cost-retail
7. Voss Capital - second-quarter letter · fiscal.ai/fund-letters/voss-capital-q2-2026-fscl_document_8GNS7JMV779
8. JunkBondInvestor - July 26 credit weekly · www.junkbondinvestor.com/p/credit-weekly-repriced-not-differentiated

How DeepStack settles a question

Every Part of The Buildout asks one question and gathers the strongest case on each side from named investors and analysts, attributed, dated and linked. DeepStack then takes a side in The DeepStack Call, names what it would take to change its mind, and sets dated tests that an outsider can read on the day. When a test comes in, the result is published with its evidence, confirmed, refuted or inconclusive, and the Call's history records when the house changed its mind and why. No person is scored or ranked. No accuracy rate is shown until ten results exist.

Quoted passages are short, attributed by name and linked to their source; the paraphrases are DeepStack's. Quote this memo with attribution and a link to the canonical page.

This memo reflects the page as of October 12, 2026. Canonical page: https://deepstack.ltd/stories/the-market-stops-paying-for-faith/. Who is on each side: https://deepstack.ltd/sides/the-market-stops-paying-for-faith/.

Analysis and opinion, not investment advice.